Rubrik (RBRK)

Cyber Resilience Platform

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*Cyber Resilience Platform. Data protection repositioned as cyber recovery. $1.66B subscription ARR (+33%) with cloud ARR at 89% of the base and NRR above 119% [10-Q Q2 FY27]. Profitability Inflection. FCF went from $33M in FY25 to $253M in FY26, and FY27 guides $323-333M with positive non-GAAP EPS of $0.47-0.53 [8-K FY26][8-K guid]. Rule of 40 is in sight. Fair Price, Not Cheap. At $112.41 [Mkt 17-Oct-26], the DCF base of $105.25 implies -6.4% downside and the market prices in 36% CAGR. It is the cheapest growth-adjusted name in AI-cyber, but not a bargain. Our framework screens it as a **Hold** with a $106.44 blended target, 5% below the current price.*

HOLD	$106.44	-5%	$112.41
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Profitability Inflection. FCF went from $33M in FY25 to $253M in FY26, and FY27 guides $323-333M with positive non-GAAP EPS of $0.47-0.53 [8-K FY26][8-K guid]. Rule of 40 is in sight.

Fair Price, Not Cheap. At $112.41 [Mkt 17-Oct-26], the DCF base of $105.25 implies -6.4% downside and the market prices in 36% CAGR. It is the cheapest growth-adjusted name in AI-cyber, but not a bargain.

$1.66B	$427.3M	>119%	3,084	14.0%	$65.7M
SUBSCRIPTION ARR (Q2 FY27)	REVENUE (Q2 FY27)	NET RETENTION RATE	CUSTOMERS $100K+ ARR	ARR CONTRIBUTION MARGIN (TTM)	FREE CASH FLOW (Q2 FY27)

The moat is structural

Identity Resilience: ~$20M subscription ARR three quarters post-GA, customer count doubled in Q2

Three scenarios make the valuation range explicit

The DCF values Rubrik across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$73.28**	-35%
Base	50%	**$103.89**	-8%
Bull	25%	**$144.70**	+29%

Bear ($73.28, -35%): Growth disappoints and multiples compress; the $73.28 target marks the downside case.

Bull ($144.70, +29%): Execution compounds and the multiple rerates; the $144.70 target marks the upside case.

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The probability-blended target implies -5% upside

Blended target: $106.44 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -5% upside from the $112.41 reference price.

$106.44

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/S ~15x [Mkt 17-Oct-26] DCF Base $105.25 vs $112.41 (-6.4%) Reverse DCF implies 36% CAGR The model says fair value, not a discount, and the implied growth bar is high.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $106.44 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Identity Resilience: ~$20M subscription ARR three quarters post-GA, customer count doubled in Q2 [8-K guid]

Rubrik Agent Cloud: 15+ paying customers in AI agent security, early proof-of-concept conversions [8-K guid]

Security products now drive 40% of net retention, up from 32% a year ago [8-K guid]

Remaining performance obligations $2.62B, up 29.5% YoY, with 53% to recognize in 12 months [10-Q Q2 FY27]

What to monitor

Dec 2026. Q3 FY27 Earnings (Positive): $429-431M revenue guide implies 31% normalized growth. Test of whether ARR momentum holds as migrations tailwind fades.

FY27. Identity & Agent Cloud Scale (Positive): Identity hit $20M ARR in 3 quarters; Agent Cloud has 15+ paying customers. New product legs are the upside lever.

Jan 2027. FY2028 Outlook (Two-Sided): First full guide after the migration tailwind fully rolls off. Reported revenue growth faces a material-rights headwind.

$1.66B	$427.3M	>119%	3,084
SUBSCRIPTION ARR (Q2 FY27)	REVENUE (Q2 FY27)	NET RETENTION RATE	CUSTOMERS $100K+ ARR

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME

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2026	$1.3B	$1.1B	$-349M
2025	$887M	$621M	$-1.2B
2024	$628M	$483M	$-354M
2023	$600M	$418M	$-278M

Key risks

Material-Rights Headwind. CFO flagged that the sharp drop in material-rights revenue is a meaningful headwind to reported revenue growth for FY27. [10-Q Q2 FY27]

Migration Tailwind Fading. The legacy-to-cloud migration run is wrapping up this year, which will make cloud net-new ARR comparisons tougher going forward. [10-Q Q2 FY27]

Dilution & SBC. Heavy stock-based compensation drove a $1.15B GAAP loss in FY25 and negative equity; share count keeps inflating and diluting holders. [10-K FY25]

Sell-the-News Pattern. Shares have sold off after multiple beats (Q1 and Q2 FY27), and the stock trades 12% below its 52-week high with elevated beta. [Mkt 17-Oct-26]

Investment view

A Q3 FY27 miss on ARR or NRR slipping below 115% would cut Trend and Forward Growth. Conversely, Identity and Agent Cloud scaling faster than expected could make the bull case ($146.56) reachable.

Hold. The $106.44 blended target implies -5% upside, balancing the $73.28 / $103.89 / $144.70 Bear / Base / Bull targets.

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Upcoming catalysts

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